



## Glycerine (Asia-Pacific)

**By Helen Yan**  
**23-Nov-2023**

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Please click [here](#) for full details on the criteria ICIS uses in making these price assessments.

### OVERVIEW

- **Abundant crude glycerine supplies from Brazil, average 33,000 tonnes/month to China**
- **Supply lengthens due to higher biodiesel mandate to B12 in Brazil and B35 in Indonesia**
- **Downstream (ECH market remains sluggish; limited fresh spot interest)**

Asia crude glycerine spot prices were under pressure from ample supplies from Brazil, with an average of 33,000 tonnes heading to China each month.

Glycerine supply has lengthened due to increased biodiesel output.

Glycerine is a by-product of biodiesel.

Indonesia increased its biodiesel blending mandate to B35, up from B30; while Brazil increased it to B12, up from B10, earlier this year.

The B35 biodiesel blending mandate means 35% of gasoline is blended with biodiesel.

Chinese spot interest had been limited due to ample glycerine inventories.

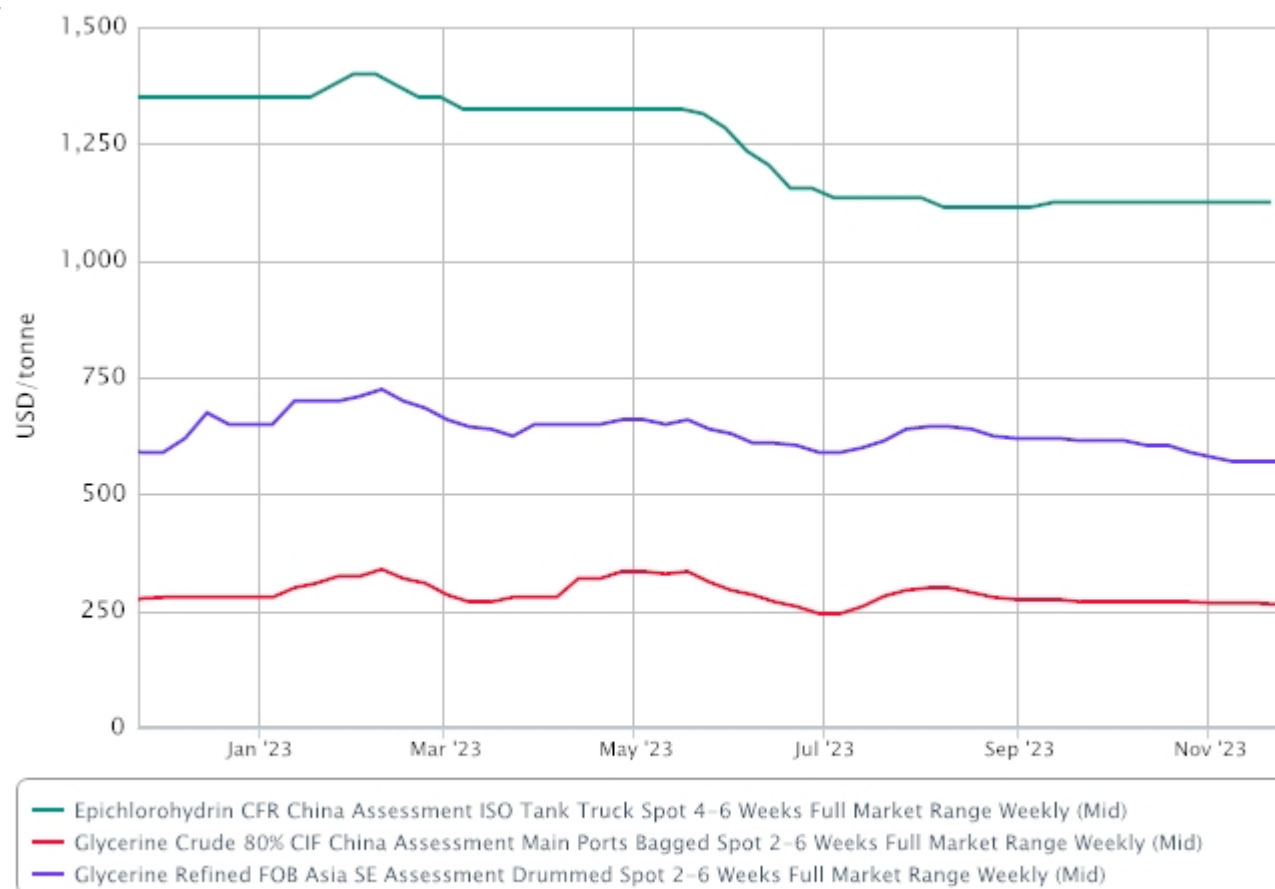
Each month, about 3,300 tonnes of refined glycerine from Brazil had been shipped to China on top of the 33,000 monthly average of crude glycerine.

In view of the abundant deep-supplies from Brazil, regional producers in southeast Asia had been hard-pressed to lower their offers in a bid to clinch any deals.

However, most regional producers were reluctant to reduce their offers for refined glycerine, having sold out their December stocks.

Suppliers are also expecting a pick-up in demand from China for late December-early January shipments, prior to the Lunar New Year, which falls on 10 February in 2024.

Meanwhile, the downstream epichlorohydrin (ECH) market remained sluggish, with the ECH makers showing little interest in procuring additional spot glycerine due to the approach of the fiscal year-end and festive holidays.



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## OUTLOOK

- **Sellers with stocks-in-hand may be pressured to unload in the near term prior to fiscal year-end**

- **Buyers may lock in Jan arrival cargoes ahead of Lunar New Year in early Feb 2024**
- **Upstream crude palm oil supply may be constrained by the El Nino phenomenon in early 2024**

## PRICES

### SPOT PRICES

|                                    |           |     | Price Range |     | Four Weeks Ago | US CTS/lb   |
|------------------------------------|-----------|-----|-------------|-----|----------------|-------------|
| <b>Glycerine Crude 80%</b>         |           |     |             |     |                |             |
| <b>CIF China Main Ports Bagged</b> | USD/tonne | -5  | 260-270     | n/c | 265-275        | 11.79-12.25 |
| <b>Glycerine Refined</b>           |           |     |             |     |                |             |
| <b>CFR NE Asia Drummed</b>         | USD/tonne | n/c | 560-640     | n/c | 570-650        | 25.40-29.03 |
| <b>CFR China Drummed</b>           | USD/tonne | n/c | 560-640     | n/c | 570-650        | 25.40-29.03 |
| <b>FOB SE Asia Drummed</b>         | USD/tonne | n/c | 540-600     | n/c | 550-630        | 24.49-27.22 |

### Refined Glycerine

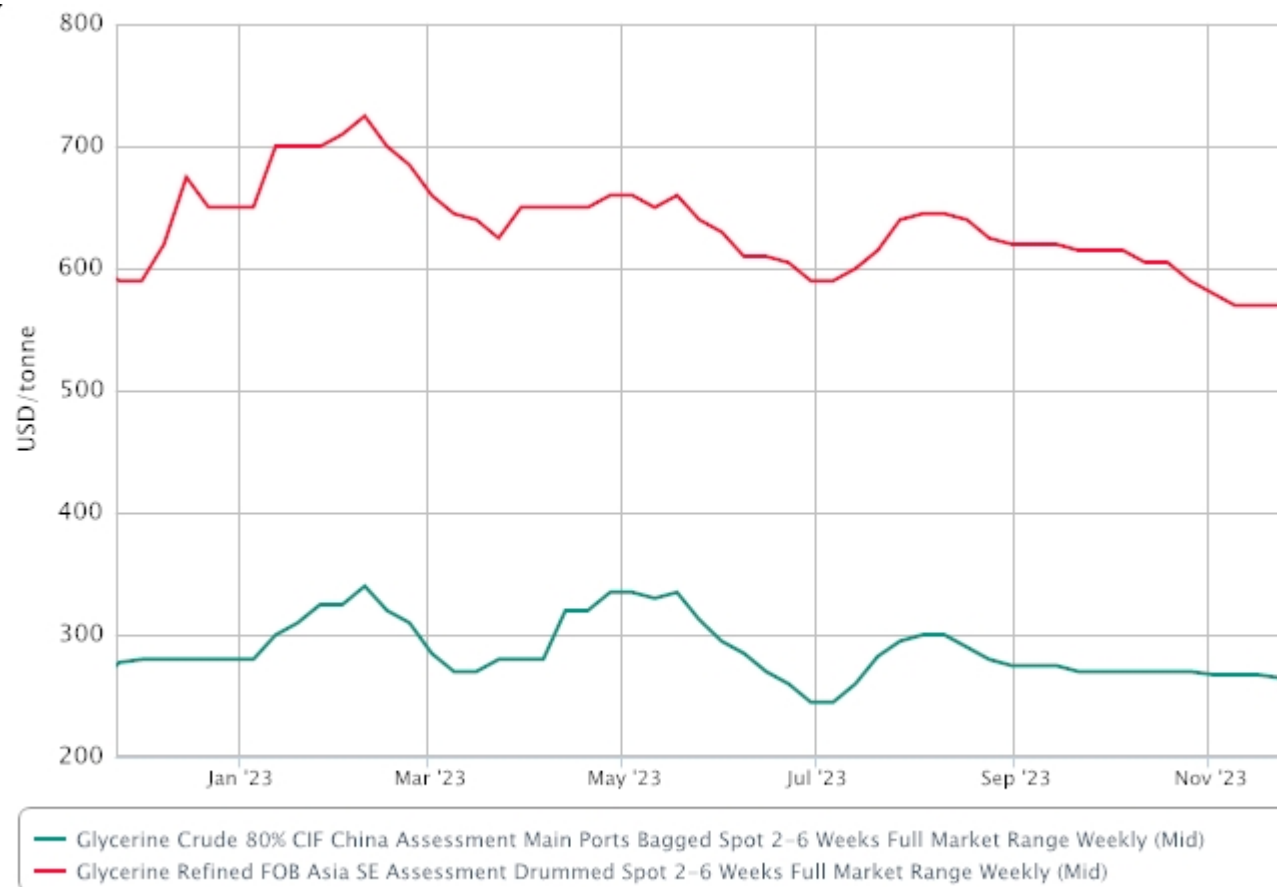
Spot prices of drummed refined glycerine were assessed as flat amid thin discussions and limited trades.

Most of the deals for December loadings had been completed, with several suppliers heard to have sold out their December stocks.

Buyers had continued to seek lower prices, given ample supplies in the region from increased biodiesel output, with Indonesia biodiesel blending mandate at B35.

A wide buy-sell gap had hampered trades, with little heard discussed or done this week.

Both buyers and sellers stayed on the sidelines. Sellers were anticipating a pick-up in spot interest for January shipments in the coming weeks.



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## Crude Glycerine

Spot prices were assessed as flat-to-soft on current discussions and trades for December shipments.

A 1,000 tonne spot cargo from Brazil was sold for early December shipment to China at \$260/tonne CIF China.

Most of the trades for late November-early December loadings were in the \$260-270/tonne CIF China range.

Chinese spot interest for crude glycerine imports had waned due to ample inventories, with traders and distributors procuring and accumulating the ample stocks from Brazil in recent months.

Product from Brazil takes about 5-8 weeks for the product to be shipped to China.

Product from Brazil or Latin America is typically priced lower than product from southeast Asia because it is subject to a 6% import duty and is of a lower 80% purity level.

Crude glycerine from southeast Asia is typically at a higher 85% purity level.

Its duty-free status and quick delivery time of about a week allows it to command a premium.

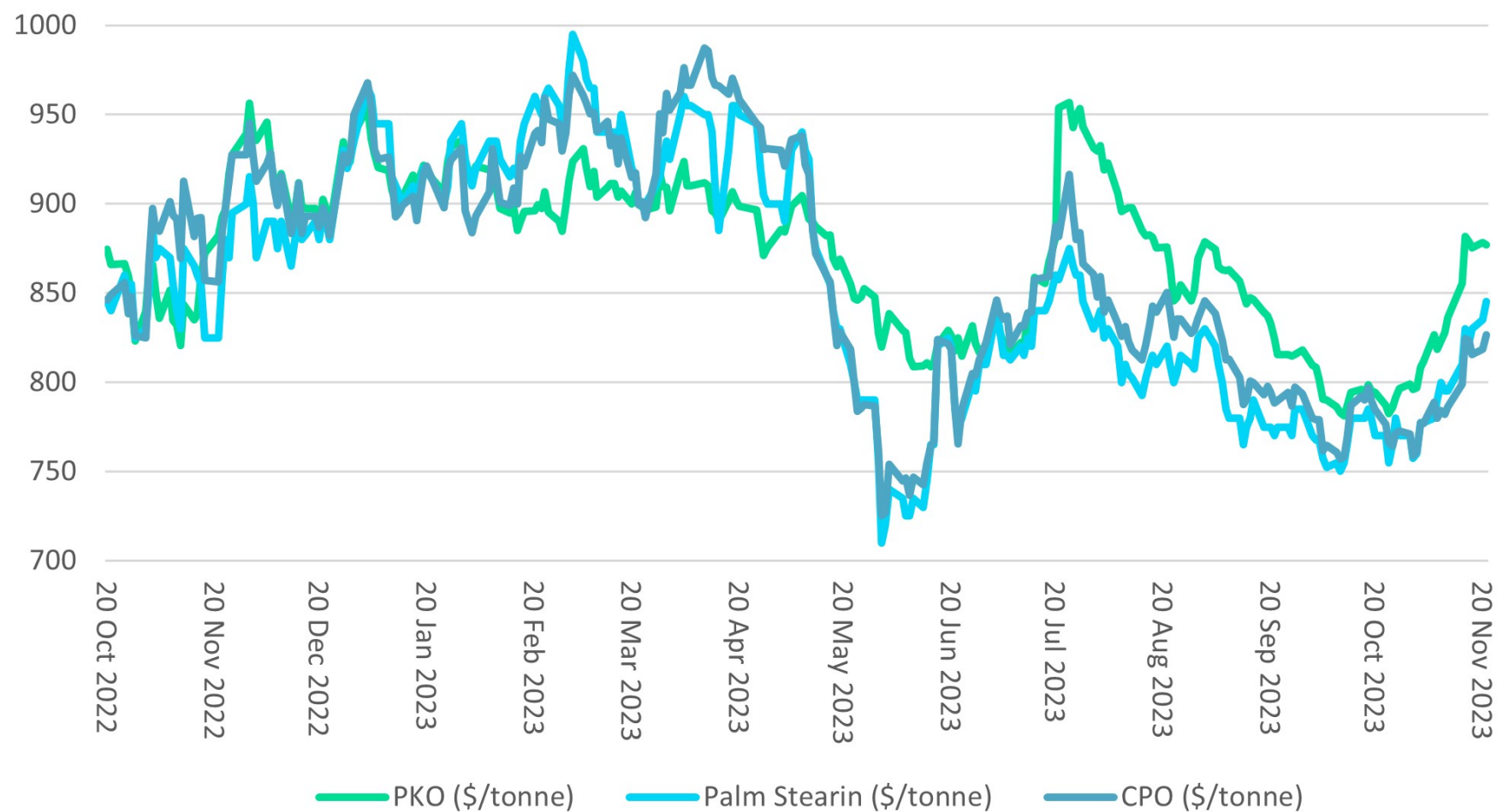
Product from southeast Asia is also not subject to import duty because of the free trade agreement (FTA) between the Association of Southeast Asian Nations (ASEAN) and China.

Discussions and trades of southeast Asia-origin product sold into China were not taken into consideration in the assessment.

Spot product from southeast Asia is typically more expensive due to its shorter delivery time frame and higher purity level.

## **UPSTREAM**

## CPO vs PKO vs Palm Stearin Prices



| Product | Delivery                  | 21-Nov   | 14-Nov   |
|---------|---------------------------|----------|----------|
| CPO     | DEL, south Malaysia (M\$) | 3,850.00 | 3,770.00 |

|                                      |                          |        |        |
|--------------------------------------|--------------------------|--------|--------|
| PKO                                  | DEL, south Malaysia (\$) | 876.93 | 855.23 |
| Palm Olein                           | FOB, Malaysia (\$)       | 870.00 | 845.00 |
| Palm Stearin                         | FOB, Malaysia (\$)       | 845.00 | 810.00 |
| PFAD                                 | FOB, Malaysia (\$)       | 780.00 | 777.50 |
| All prices are on a per tonne basis. |                          |        |        |
| Source: Matthes & Porton             |                          |        |        |

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